IMAG/NARY

Imaginary Venture Capital Partners IV, L.P.

Q1 2026

A Note from Team Imaginary (Q1 2026)

Because we communicated year-end in March and many of you have heard from us recently, we are keeping this letter shorter than usual. As some of the investors in Fund IV are new LPs, we are also attaching our previous year-end letter below for additional context. This can be found on the following pages (pg. 3-5).

We are now firmly in transition between Fund III (out of which we are making our final early-stage investments) and Fund IV (out of which we made our first growth investment in Q1). We will take the next few months to wrap new company investments in Fund III, putting the final companies into a fund that we feel covers a great surface area across the consumer landscape and exposes our Limited Partners to many of the evolutions in consumer behavior that manifested during the deployment period. We are deeply appreciative of (and as always, humbled and motivated by) the continued support of our Limited Partners.

We opened Fund IV with our investment into the Swedish textiles company Nordic Knots. We are excited to back the first growth-stage company of the fund, toward a growth mandate designed to deliver exposure into a concentrated group of durable, profitable, fast-growing, beloved consumer companies across categories. We appreciate that this is a company based in Stockholm and trading internationally, with a sterling reputation domestically and abroad. We will have lots more detail on this investment in the Fund IV Letter. Nordic Knots stood out because it combines many of the qualities we look for in a growth investment: 50%+ revenue growth, strong profitability, exceptional capital efficiency, and a brand with clear permission to expand beyond rugs into a broader luxury home platform. We were particularly drawn to the company's exceptional founders, Fabian Berglund and Liza Laserow Berglund, and the rare combination of Scandinavian design authority, sharp pricing within the luxury segment, short lead times, and deep traction with the professional interior design community, which we believe can support a durable global brand.

We also launched Reale Actives, a Fund III portfolio company and our third IMAGINARY Labs company, into the market in Q1. The launch surpassed virtually all expectations, selling $1M worth of product in its first five minutes of trading and selling out of $5M of product in its first day. Spectacularly, the company sold another $1M of product in the first five minutes of its restock day just a few weeks later. We can confidently say that this has been one of the most successful brand launches of the last 5-10 years. We are thrilled with how the team is operating, and especially with how the market has received both the product and the brand. We have felt a rare level of interest in this company from customers, retailers, media, and investors. The success of this launch gives us confidence in our incubation program and reason for going early, with concentrated bets where we can own a meaningful portion of the business. In the case of Reale Actives, we own 43% on a pro-forma basis.

Thank you as always. We are available at all times.

A Note from Team Imaginary (Q4 2025)

Over the past year, AI has been a singularly overwhelming disruptive trend across business, technology, and capital markets. The emergence of AI has dominated the global narrative in a way that happens once in a generation at best. Large segments of industry are reorienting and reorganizing around expectations related to the proliferation and impact of AI.

But in our work, the story has been different. When we consider the ways in which we have focused our attention over the last year, when we consider the trends that have broken through with the most potency, a much less artificial theme emerges: *humanness*.
Our work, by its nature, has a fundamentally human element. An immutable physicality. We can conjure this quality by recalling the experiences of putting on a sweater, applying moisturizer, eating a taco, drinking an energy drink, filling a handbag with the items that get us comfortably through our days. These are experiences, moments, that we can feel. The point is not to romanticize this physicality, but rather to remind ourselves that the human senses are inextricable from the human experience.

Technology does change the way we get there. The way we discover. The way we find validation. The way we infer meaning and status. The way we shop and the way we pay. But at the end of each consumption journey, there is something truly human to anticipate.
We consider one of our core responsibilities to be the tracking and understanding of the modern consumer's desires. And we sit together as a team each week to apply our observations to our work. Over the last year, in some ways ironically given the overwhelm of the AI narrative, we continue to gravitate toward this human element. The themes we feel have been most consequential in our work are in some ways directly opposed to the prevailing trends in technology (and we would hardly bet against their having been catalyzed in reaction to them): an elevated focus on the health and appearance of the human body itself; a heightened desire for community and belonging; a more discerning attention to ingredient profiles and product composition (and a preference for premiumization). It is our point of view that humans will always want to lean into those things which make them human, and potentially more intensely during a moment at which technology can at times feel more like a threat than a friend.

Lots of our work over the last year can be tied to an explosion of interest in the human body. Over-the-counter supplements and longevity, GLP-1s and weight loss, peptides and human performance. There's a generation of young men unabashedly focused on their superficial physical appearance. They are leaning into their hair, skin, muscularity, and body composition in a way they were simply not doing five years ago. Women in huge numbers are taking up strength training. People are sleeping more, drinking less, paying more attention to recovery alongside exercise, and in many instances tracking and quantifying their progress across all of these pursuits. We have seen wellness-oriented physical spaces emerge as a powerful substitute for traditional social environments predicated on eating and drinking.

We are also seeing the consumer express a greater desire for community. We have seen fitness concepts, boutique and national, coalesce around the community of people they bring together in and out of their actual spaces. We have seen brands lean into this desire by hosting events, cultivating more participatory physical retail expressions, popping up in locations of concentrated cultural significance, and even investing in their presence in social media comments sections as a means of nurturing conversation and community there. We have observed that the best brands are taking a much more hands-on and interactive approach with their audiences.

We have also noticed the consumer adopting a much more involved and informed relationship with the ingredients in the products they consume. The customer is asking for more out of their food: more protein per calorie, more fiber, more natural ingredients. It's about efficiency and functionality. It's not just about experience now, but also about outcomes. The beauty landscape is trending clinical in orientation: the modern beauty customer wants her products to work harder for her. She knows the science has evolved and she wants the better results it should bring. And similarly, we are noticing the customer expressing a preference for premiumization. Better products with better inputs. Customers want more out of what is going into and onto their bodies.

A founder in our portfolio recently noted that it is as hard as ever for a brand to "break through" and move the culture. We attribute much of this difficulty to the sheer volume of content coming out daily on digital channels and to the proliferation of consumer brands across categories. The consumer has more choice and is facing more noise than ever. It is our view that the brands that succeed at breaking through will strike a distinctly human nerve. They will shake the culture by appealing to the foundational elements of our humanity.

But this commentary is not intended to imply that AI is irrelevant to our work. It is highly relevant. AI is affecting the speed and specificity with which brands can reach and engage their customers. It is affecting the leverage (and maximum theoretical profitability) with which teams can operate their businesses. It is shaping the ways that brands can and will distribute their content and products. We are in the very early days of brands beginning to think about AEO (Answer Engine Optimization) the way they have for over a decade thought about SEO and paid advertising. On March 24th Shopify and OpenAI announced an updated partnership making Shopify merchants directly shoppable by an in-app storefront within ChatGPT. The pipes are being overhauled. We recently evaluated a luggage and accessories brand that will do more than $200M of revenue in its second year of trading and is spending <2% of revenue on Payroll. We believe leverage like this is only possible now, in this new era of technological efficiency.

We recently surveyed our portfolio to understand the ways in which they are deploying AI tools into the operations of their businesses, and also to understand the magnitude of the impact it is having so far. Some of our portfolio companies have dramatically overhauled their operations around the efficiencies they are finding via AI. These tend to be the more technically oriented companies (software, online retailers, etc.). Across the CPG landscape, the general theme is still experimentation with point solutions to compress time spent on, and extract additional value out of, very specific business initiatives like customer retargeting, creative content generation, customer support. The translation of these initiatives into PnL impact is still relatively nascent. We are encouraged by the potential. One thing that has become very clear to us is that we have to index ourselves toward founders who are ahead of the curve in thinking about how to orient and even build consumer businesses natively around AI. We can draw a parallel to founders who were ahead of the curve in the early days of Instagram and TikTok. These are the founder personas we think will generate alpha.

We have been experimenting with AI tooling ourselves. We recently equipped our entire junior investment team with finance-specific AI assistants. We are already seeing productivity gains across the team, richer data analysis, and higher quality output. We are leaning more heavily into data and the insights we can glean from more data with better technology. But at the end of the day we are reminding ourselves that our work is a combination of science and taste. And the answers to the questions lie as much in the data as they do in our understanding of how a company resonates with its human customer.

We are really encouraged by the momentum we are feeling in consumer right now. Taken in the context of the volatility across public technology stocks precipitated by swings in sentiment on the impact of AI and the cost of the CapEx associated with it, we feel that the market is reflecting extremely positively on consumer. This week alone there have been five acquisitions at nine to ten-figure enterprise values of companies across beauty, personal care, beverage, alcohol, and supplements/nutrition. These are very human categories.

So we feel that the work ahead of us is to continue to study and reflect on the human element of consumer investing while paying close attention to the platform and business model shifts that are being effectuated by AI. Many parts of our business will evolve over the next five years, some probably to a point of unrecognizability. But the thing that keeps us as motivated as ever is our belief that the heart of what we do – investing in consumer businesses that create desire and appeal to the human experience – will remain stable in the face of an otherwise incredibly dynamic landscape. The customer will always be human.

As we approach the final close of Fund IV, which is tracking slightly above our target fund size of $450M, we wanted to share an update on Fund III and Fund III Growth, given we are nearing completion of new investment deployment in both.

There are a handful of Fund III companies we are most singularly focused on in terms of their exceptionalism and early performance. The four standouts today include Alec's Ice Cream, Danielle Frankel, Point of View Beauty, and Reale Actives. Although these four companies are the early leaders in terms of expected alpha, we acknowledge that this subset of companies might evolve over time. We have a small number of net new investments remaining to make out of Fund III and we expect to complete deployment into new deals by the end of Q3 2026.

While Reale Actives is a pre-launch concept, the brand was publicly revealed earlier this week following a weekslong campaign that teased what cofounder Alix Earle has been working on. The brand's Instagram account, which was operating under a different name prior to the announcement, had already amassed over 500K followers ahead of launch, underscoring a highly unusual level of consumer excitement. The official reveal drove significant cultural reach, including a Tonight Show appearance with Jimmy Fallon on the day of announcement, alongside strong engagement across their brilliant pre-launch campaign.

In Fund III Growth, the companies that stand out today as the largest cash contributors are The Row and GlossGenius, with the broader portfolio continuing to perform well, including assets that experienced temporary growing pains in 2025. These two businesses in particular have meaningfully outperformed relative to their starting points at investment.

New Investment

	Initial Investment Date	Post-Money Valuation	% Ownership
NORDIC KNOTS	February 2026	$257M	15.5%

Founded in Sweden in 2016 by husband-and-wife founders Fabian Berglund and Liza Laserow Berglund, Nordic Knots is a Scandinavian luxury home brand initially anchored in rugs and now expanding across curtains, bedding, and broader home textiles. Fabian serves as CEO and Liza leads the brand's creative direction. Together, they have built Nordic Knots around a simple but powerful promise: high-quality, design-forward home products with a luxury aesthetic, sharp pricing, and significantly shorter lead times compared to most premium competitors.

The business today is best known for rugs, which still represent the majority of revenue, but the broader opportunity is much larger. Nordic Knots has already begun expanding into curtains and bedding, with early performance in these categories exceeding expectations. Over time, we believe the brand has the potential to grow from a leading rug and textile business into a broader luxury home platform spanning furniture, lighting, decor, and other adjacencies.

At Imaginary, we have spent the last several years refining our thesis around home and interiors. As design inspiration and discovery have become more social, visual, and global, we believe there is an opportunity for a modern luxury home brand to emerge with the same clarity of taste, customer loyalty, and category expansion potential we have seen in other consumer categories. We first met founders Fabian Berglund and Liza Laserow Berglund in 2024 through Yael Aflalo (founder of Reformation), and since then have been drawn to Nordic Knots' rare combination of profitability, capital efficiency, and growth. We have met many brands in home over the years, and Nordic Knots stood out as a rare business with the right combination of iconic product, strong customer love, professional channel credibility, and multi-category potential.

Restoration Hardware (NYSE: RH) serves as a reference point for how a home brand can scale when it owns a clear aesthetic and expands thoughtfully across categories. RH was founded in 1979 around high-quality, hard-to-find hardware and fixtures before evolving into a broader home furnishings platform in the 1990s. Today, RH is a public company generating more than $3.4B of annual revenue at 16% EBITDA, with rugs alone representing roughly $250M of sales. While RH's aesthetic is rooted in a more European, modern-classic version of luxury, it demonstrates that a brand with a strong point of view can move from a narrow category into a much larger global home platform. We believe Nordic Knots has the potential to build a modern version of that playbook around Scandinavian design: digitally native, physically expressive, anchored in textiles, and extensible across the home.

One of the most compelling parts of Nordic Knots is the quality of the operating model. Nordic Knots has grown more than 50% annually while remaining highly profitable, all without having previously taken outside capital. The company is expected to reach $100M+ of revenue in 2026, with 22%+ EBITDA margins. That combination of scale, growth, profitability, and capital efficiency is especially rare in home, a category that often struggles with inventory complexity, long lead times, and uneven margins.

Nordic Knots' pricing and delivery model are also a meaningful part of the thesis. In premium rugs, the competitive set ranges from digitally native brands like Ernesta and Beni to more established players such as Stark, RH, and The Rug Company. Using 8' x 10' rugs as a consistent comparison point, Nordic Knots' median price is approximately $1,695 versus an average competitor median of roughly $3.2K, almost 50% lower, while still offering premium design, strong quality, and materially shorter lead times. Many competitors rely on made-to-order production or broader custom assortments, which can create higher costs, more waste, longer delivery windows, and wider price dispersion. Nordic Knots, by contrast, holds stock on a tighter and more curated assortment, allowing the team to price competitively while still protecting margin.

This difference in operating model lets the team buy deep into high-quality materials, negotiate effectively with suppliers, maintain attractive margins, and deliver most core products within days rather than weeks. Core styles typically deliver within 3-6 business days, and only a small portion of the business is custom today. That speed matters in a category where lead times can often stretch to several weeks or months, and it is one of the reasons Nordic Knots has been able to earn loyalty from both consumers and professional buyers.

The team also has local quality-control infrastructure in India to catch issues before product is shipped, reducing return friction, minimizing margin loss, and protecting the customer experience. Longer term, management is working toward a more diversified supply-chain footprint, including additional warehousing capabilities in Europe and the U.S., which should support faster delivery times and better flexibility as the assortment expands.

New Investment (cont.)

NORDIC KNOTS

Initial Investment Date	Post-Money Valuation	% Ownership
February 2026	$257M	15.5%

Nordic Knots' professional trade channel is another key part of what makes the business distinctive. The company has nearly 6,000 PRO accounts today across interior designers, decorators, hospitality groups, and other professional buyers, with PRO representing roughly 40% of revenue. This customer base is high-value and repeat-driven: PRO AOV has climbed above $2,000, PRO customers have grown at a 69% CAGR from 2022 to 2025, and 47% of monthly PRO customers are from returning buyers.

Retention of the customer base is strong, with 35% of PRO customers purchasing 2+ times and 16% purchasing 3+ times. Importantly, the channel is not overly concentrated, with the top 50 PROs representing only ~8% of lifetime PRO revenue. We believe this professional community acts as both a durable revenue stream and an organic marketing engine, allowing Nordic Knots to spend only ~15% of revenue on paid marketing and remain less dependent on paid acquisition versus many DTC-first consumer brands.

The PRO channel also gives Nordic Knots a different kind of brand reach. Designers and decorators use Nordic Knots products in client projects, photograph them in portfolios, feature them across their own marketing channels, and often show up in design publications. That creates a powerful visibility loop: the brand enters aspirational homes and hospitality environments through professionals, while also being discovered by end consumers through the finished spaces. We believe this is a healthier and more durable marketing model than relying purely on paid social acquisition.

We also spent meaningful time in diligence around supply chain and tariff exposure, given that Nordic Knots, like the rest of the rug industry, sources rugs primarily from India. As part of that work, we brought in an outside consultant to diligence and pressure test the supply chain, pricing power, and margin impact under different tariff scenarios. The consultant spent extensive time with the operations and supply chain team as part of our diligence process. The team has already begun mitigating the issue through supplier negotiations, selective U.S. price increases, and future supply-chain diversification. Importantly, the current 50% tariff environment is reflected in the company's forward plan, and management expects the impact to reduce gross margin by only roughly 200 basis points, supported by lower supplier costs and pricing actions. While tariffs remain an area to monitor, the team's early response reinforces our view that Nordic Knots is operationally sophisticated and disciplined in protecting profitability. In Q1, we have already seen strong gross margin performance, with the team able to slightly beat plan on gross margin. We expect the business to land at the forecasted gross margin in coming months versus maintaining the beat as a larger share of sales will come from product imported at higher tariffs, as expected.

Retail is still early but meaningful. Today, Nordic Knots has a Stockholm showroom and a New York flagship location, with the New York store already demonstrating strong productivity despite a relatively small footprint. The team views retail as both a revenue driver and a brand-building tool, especially as larger stores allow the company to showcase more of the assortment beyond rugs. With planned expansion into markets such as Los Angeles, London, and Paris, we believe physical retail can become an important accelerant for both consumer awareness and professional-channel growth.

We believe the combination of digital, PRO, and selective physical retail is particularly important in home. RH's success has been built in large part around creating immersive spaces that make the brand world tangible, compelling the customer to buy "all 5 walls" of RH's spaces. Nordic Knots is taking a more modern and capital-disciplined approach, but the strategic logic is similar: stores are not just points of sale - they are places to express the brand, educate consumers, host designers, and show how rugs, curtains, bedding, and future categories can live together. As the assortment expands, larger retail spaces will become more valuable because they allow Nordic Knots to sell the full home vision rather than a single product category.

Most importantly, we have high conviction in the founders. Fabian and Liza are disciplined, product-obsessed operators who have built the business with a rare balance of creative taste and financial rigor. They are ambitious about building Nordic Knots into a global category leader, but they have also consistently underwritten the business conservatively and executed ahead of plan.

We also spent time evaluating the potential exit landscape. Home has historically had a more limited set of strategic buyers than categories such as beauty, food, or apparel, and we think it is important to be clear-eyed about this reality. However, we believe Nordic Knots has several potential paths as the business scales. There are strategic buyers and public home platforms that have historically acquired design-led home assets, and Nordic Knots has the opportunity to become increasingly relevant to acquirers that want to enter or deepen their position in premium rugs and textiles. We also believe a public listing in Sweden could be a viable path over time, particularly given the company's profitability, growth, and Swedish roots. The key point is that while the exit landscape requires discipline, the business has the financial profile and category expansion potential to support multiple outcomes.

New Investment (cont.)

NORDIC KNOTS

Initial Investment Date	Post-Money Valuation	% Ownership
February 2026	$257M	15.5%

Imaginary's investment in Nordic Knots is also significant as it is the first investment out of Fund IV. Imaginary led the deal, bringing together a handful of select investors to acquire a meaningful minority position at a $257M post-money valuation. Imaginary Fund IV owns 15.5% of the business and sits on the board of directors with 2 board seats.

Our investment reflects our conviction that Nordic Knots can become a category-defining global luxury home platform. The business combines many of the attributes we look for in consumer investments: a beloved and highly differentiated brand, strong founder-market fit, exceptional product quality, disciplined profitability, multiple growth channels, and a clear path to expand into a much larger category over time. While home has historically been a challenging category for scaled outcomes, we believe Nordic Knots is one of the rare emerging brands with the taste, operational foundation, and customer pull to build something enduring.

For Imaginary, Nordic Knots represents the type of business we are excited to back in Fund IV: a profitable, fast-growing consumer brand with a distinct point of view and the potential to define a category globally. We believe the company is still in the early stages of what it can become, and we are excited to partner with Fabian, Liza, and the broader Nordic Knots team as they build the next great luxury home platform.

Company Updates

Company	Overview	Initial Investment Date	% Ownership
NORDIC KNOTS	NORDIC KNOTS is a luxury home brand rooted in Scandinavian design and anchored in rugs and textiles.	February 2026	16%

Cash Runway	Profitability Profile	Revenue Scale	YoY % Revenue Growth
4+ quarters	Profitable	$100M - $499M	+61%

Board Observer
Logan Langberg

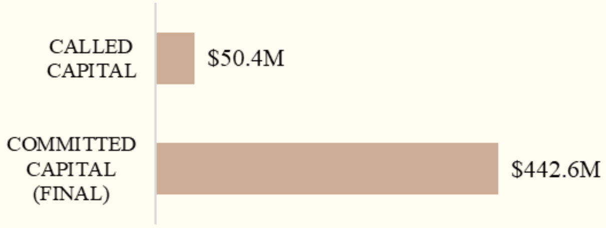
Other Investors
CREADES
IRIS VENTURES

Q1 2026 Updates

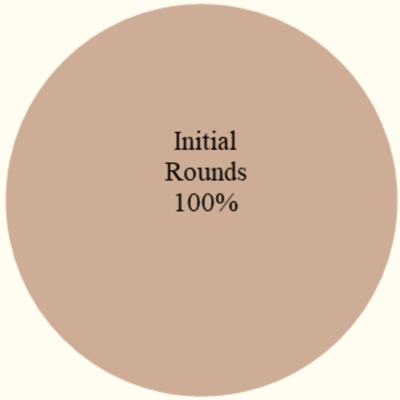
NORDIC KNOTS delivered a strong Q1, with revenue up 61% year over year and ahead of plan, while adjusted EBITDA came in ahead of budget at a ~21% margin. Growth was broad-based across DTC and the PRO channel, which serves interior designers and other professional buyers, with order intake up 66% year over year. The team continued to advance key 2026 priorities including retail expansion, PRO platform improvements, and broader assortment development across home textiles. Imaginary closed its $25M investment in Nordic Knots in Q1 2026 with conviction that the brand has the potential to become a category-defining global luxury home platform.

Portfolio Update

Called vs. Committed Capital



Capital Invested in Initial Rounds vs. Follow-On



Invested Capital by Sector

Portfolio Update (cont.)

Imaginary IV Portfolio Update **3/31/2026**

Total Called Capital	Total Invested Capital	Fair Market Value
$50,404,899	$40,000,000	$40,000,000
Total Realized Gain	**Total Unrealized Gain**	**Gross Multiple**
–	–	1.0x

Portfolio Company	Date of First Investment	FD%	Cost	% of Fund Invested	FMV	Realized Gain / (Loss)	Unrealized Gain / (Loss)	Multiple
Fund IV Growth Investments								
Nordic Knots	2/12/2025	16%	$ 40,000,000	100%	$ 40,000,000	$ -	$ -	1.0x
TOTAL			**$ 40,000,000**	**100%**	**$ 40,000,000**	**$ -**	**$ -**	**1.0x**

FMV as reported above includes realized gains & losses, as well as interest and dividends, if applicable, and does not include the impact of foreign currency translation, which as a result may differ from the U.S. GAAP financial statements